2.2 Markets, Efficiency, and Price Signals

Video: Markets, Efficiency, and Price Signals (Crash Course Economics)

Free Markets vs. Central Planning

Economic System	Who decides what gets produced?
Free market economy	
Centrally planned economy	

Soviet central planners focused on heavy equipment and military hardware, which led to shortages of _____ like soap and sugar.

Two Types of Efficiency

Type	Meaning
Productive efficiency	Products are made at their _____, with no wasted resources
Allocative efficiency	We produce the things _____ actually want

In a free market, a business owner has an incentive not to be wasteful because they want to maximize _____.

A company making only skinny jeans at low cost may be productively efficient but probably not _____.

Price Signals

Producers learn what consumers want by looking at prices. Economists call these _____.

When Apple sold millions of iPads, other companies had an _____ to jump into the tablet market.

Price signals also help distribute products to the people that _____.

Economist Joel Waldfogel argued that gift giving is _____ when people receive items they do not value. In terms of efficiency only, the ideal gift is _____.

Competition between businesses keeps prices and quality in check. This is Adam Smith's _____.

Markets and Government

Most economists recognize that markets are not perfect. When markets fail, economists encourage the government to _____ or take direct control.

In the U.S., the government directly controls the markets for national defense and _____.

Is the Price System Fair?

_____ happens when sellers raise prices for essential items like food, water, or gasoline during an emergency.

Some argue price gouging exploits consumers, and 34 states have anti-price gouging laws. Many economists argue higher prices encourage people outside the disaster zone to bring in essential goods.

_____ (below-cost pricing) is when a business charges very low prices, even at a loss, to drive out _____.

In the U.S., predatory pricing lawsuits are common but very rarely _____.

Consumers Have a Voice

Capitalism, with its system of price signals, is basically _____: we choose what gets made when we spend our money.

Think About It

Think of something you or your family bought recently. What "price signal" did your purchase send to the business that made it? _____